



CloudMetrics Pro

B2B SaaS Analytics Platform · Acquisition Candidate

\$11.8M

LTM Revenue
FY2024

\$2.9M

LTM EBITDA
24.6% Margin

\$13.2M

Purchase Price
All-in EV

4.5x

EV / EBITDA
Reported Basis

Representative Transaction Advisory Work Sample

Transaction Overview — CloudMetrics Pro, B2B SaaS Analytics

\$11.8M LTM Revenue FY2024	\$2.9M LTM EBITDA 24.6% Margin	\$13.2M Purchase Price Equity + Debt	4.55x EV / EBITDA Reported Basis	87% Gross Margin SaaS Best-in-Class	94% Net Rev. Retention NRR LTM
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INVESTMENT HIGHLIGHTS

- Sticky ARR of \$9.7M with 94% NRR and sub-6% logo churn — best-in-class unit economics for SMB SaaS at this scale
- Mission-critical analytics embedded in daily workflows; 4.2-year average customer tenure creates structural switching cost moat
- Fragmented SMB analytics market — no player >8% share; clear consolidation thesis with 4 identified bolt-on targets at 3–4x EBITDA
- 24.6% reported EBITDA margin (27.7% adjusted) with documented path to 32–35% through pricing power and operational leverage

Five Pillars of Value Creation

01

Mission-Critical SaaS

Embedded in daily operations of 380+ B2B customers across 3 verticals. Average session time 47 min/day. Net churn in accounts >25 seats is effectively zero — structural workflow lock-in with high decoupling friction.

02

Recurring Revenue Engine

89% of revenue is recurring (subscriptions + marketplace); contracted ARR stands at \$9.7M. Cohort analysis shows avg. customer tenure 4.2 years. Negative net churn above Growth tier — customers organically expand ACV without new sales cycles.

03

Fragmented Market

200+ point solutions, no dominant player >8% share. Classic roll-up: acquire vertical leaders at 3–4x EBITDA, migrate onto CloudMetrics infrastructure. 4 bolt-on targets identified.

04

Strong Cash Conversion

EBITDA \$2.9M converts to unlevered FCF \$2.52M (87% conversion). Negative working capital from deferred annual subscriptions — business self-funds growth post-acquisition with no additional capital required.

05

Platform Consolidation

SOC 2 Type II, multi-tenant architecture, API Marketplace 120+ connectors. Purpose-built roll-up vehicle. 4 targets at \$4–7M revenue each identified — accretive at 3–4x vs CloudMetrics' exit multiple of 7–9x.

B2B SaaS Analytics — Global Market Dynamics

\$67B

Global Market

2024 TAM ¹

14.2%

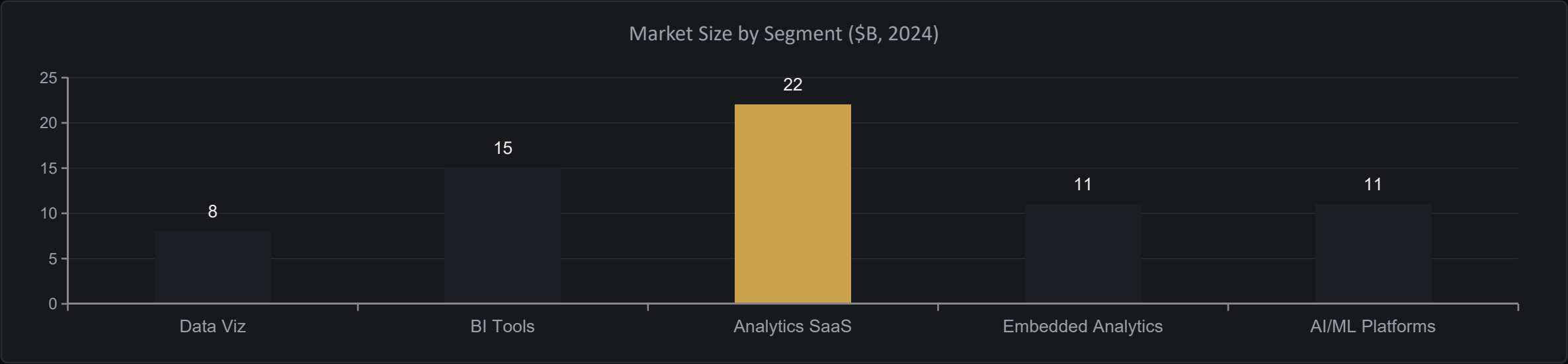
CAGR 2024–29

Compound Growth ¹

72%

SMBs Increasing

Analytics Spend ²



KEY GROWTH DRIVERS

- Remote/hybrid work accelerating cloud-first analytics adoption — 60% of SMBs still use spreadsheets for reporting ¹
- AI copilot integrations creating premium upsell opportunities within existing SaaS stacks ³
- Data privacy regulations (GDPR, CCPA) driving demand for managed, compliant analytics platforms ²

¹ Grand View Research, B2B Analytics SaaS Market Report, 2024 · ² Gartner, Analytics & BI Platforms Market Guide, 2024 · ³ IDC, Worldwide Semiannual Software Tracker, 2024

Scorecard Analysis — B2B SaaS Analytics

Demand Durability		9/10	Analytics is mission-critical; recession-resistant spend category
Revenue Predictability		9/10	ARR + annual contracts; NRR >90% standard across segment
Margin Profile		8/10	80%+ gross margins; scales with minimal incremental COGS
Switching Costs		8/10	Deep workflow integration; data migration friction is high
Cyclicalit		8/10	Counter-cyclical: cost-cutting environments drive analytics adoption
Consolidation Potential		9/10	Highly fragmented; no dominant player; clear roll-up thesis
Competitive Intensity		6/10	Fragmented but well-funded incumbents; price pressure risk

OVERALL INDUSTRY RATING: 8.1 / 10 — HIGHLY ATTRACTIVE FOR ACQUISITION

TAM · SAM · SOM — Serviceable Market Analysis

TAM

\$67B

Global B2B Analytics SaaS — all business sizes, geographies, verticals. 14.2% CAGR through 2029.

SAM

\$9.2B

North American SMB segment (10–500 employees) across target verticals. 13.7% of global TAM.

SOM

\$620M

E-commerce, Logistics & Professional Services — CloudMetrics' proven verticals. ~1.9% current penetration (\$11.8M LTM revenue / \$620M SOM).

REGIONAL SPLIT: US 68% · Canada 15% · UK/ANZ 12% · Other 5% — 10x revenue growth achievable within existing geographies before new market entry required.

Sources: Gartner Analytics & BI Platforms Market Guide (2024); IDC Worldwide Semiannual Software Tracker (2024); Grand View Research (2024); company management estimates.

CloudMetrics Pro — Business Profile & History

CM

PRO

CloudMetrics Pro

Austin, TX · Founded 2017 · 62 FTEs · SOC 2 Type II

●

2017

Founded by 2 ex-Tableau engineers; bootstrapped — no external seed

●

2018

50 paying customers; \$1.2M ARR without external capital

●

2020

Crossed \$5M ARR; launched Connector Marketplace (120+ integrations)

●

2022

UK/ANZ expansion; \$4M angel round to accelerate GTM

●

2024

\$11.8M LTM revenue; 380+ customers; 62-person team

Headquarters

Austin, TX + London

Product

Cloud-native SaaS (AWS)

Customers

380+ active B2B accounts

Verticals

E-comm, Logistics, PSF

Employees

62 FTEs (78% Prod/Eng)

Certifications

SOC 2 Type II, GDPR

Core Product Modules

● Real-time dashboard & reporting engine

● 120+ native data connectors (Marketplace)

● AI-powered anomaly detection & forecasting

● White-label client portal (Agency tier)

LEVERAGE STRATEGIC · STRICTLY CONFIDENTIAL · NOT FOR DISTRIBUTION

7/33

Leadership Profile — Buyers Buy Teams



James Whitfield
Co-Founder & CEO

Prior: Tableau · Salesforce Analytics
Key achievement: Founded CloudMetrics (2017); scaled to \$11.8M ARR bootstrapped; owns all primary customer relationships
Education: Stanford MBA, BS Computer Science



Priya Ramanathan
Co-Founder & CTO

Prior: Microsoft · Palantir
Key achievement: Architected multi-tenant engine supporting 380+ concurrent environments; led \$4M angel round tech pitch
Education: MIT, MS Distributed Systems



David Okonkwo
VP Product

Prior: Mixpanel · Amplitude
Key achievement: Led Connector Marketplace launch (120+ integrations) and AI anomaly module (42 beta, \$101K ARR)
Education: Arizona State University, BS Computer Science



Sarah Chen
VP Customer Success

Prior: HubSpot · Intercom
Key achievement: Built CS function from scratch; manages 94% NRR, NPS 62; zero churn >\$50K ACV tier over 3 years
Education: Notre Dame, BA Business

⚠️ KEY PERSON NOTE: CEO Whitfield owns all primary customer relationships. 24-month employment agreement + \$350K cliff vesting is non-negotiable pre-close.

CloudMetrics Pro — Core Platform Modules

CORE MODULE

Analytics Dashboard

Real-time KPI monitoring with 40+ chart types. Drag-and-drop builder. Auto-refresh 60s. 380+ customers use daily as primary ops interface.

- 47 min avg. daily session
- 4.2 yr avg. customer tenure
- NPS: 62 (median: 41)

INTEGRATION LAYER

Connector Marketplace

120+ native integrations: Shopify, Stripe, HubSpot, GA4, Salesforce, Klaviyo. Customers average 6 connectors. 4 new connectors added monthly.

- 120+ native connectors
- Avg. 6 per customer
- 4 new added/month

PREMIUM — BETA

AI Anomaly Engine

ML-powered anomaly detection + 90-day revenue forecasting. 42 beta customers generating \$101K ARR. Full rollout ready at \$200/mo premium upsell.

- 42 beta customers
- \$101K ARR in beta
- \$200/mo upsell ready

AGENCY TIER

White-Label Portal

Full rebrand capability — agencies resell under their own brand. 7 active agency partners generating \$280K ARR at 30% reseller margin.

- 7 active agency partners
- \$280K ARR from channel
- 30% reseller margin

Full product screenshots and live demo available in secure data room upon execution of NDA and LOI.

Why CloudMetrics Wins — at a Glance

WHY CLOUDMETRICS WINS

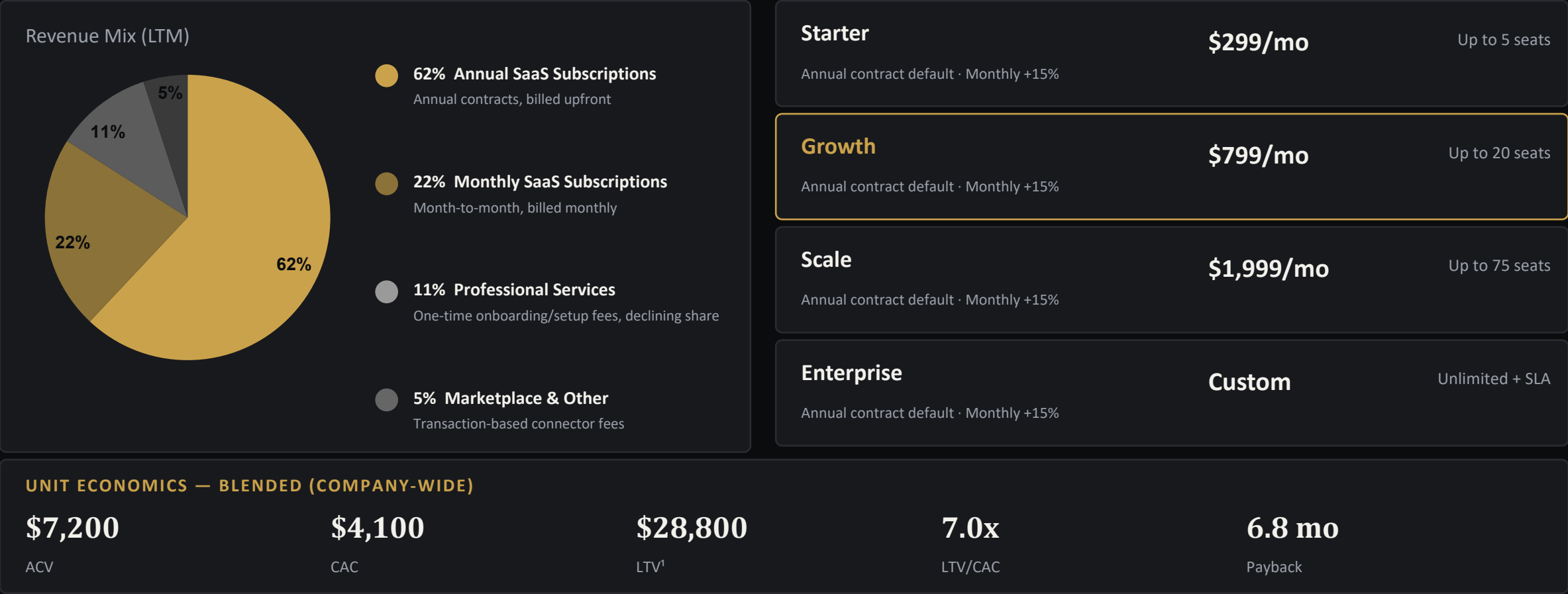
-  **White-Label Tier**
Only SMB-tier platform offering full agency reseller rebranding
-  **Native AI Engine**
Built-in ML anomaly detection & forecasting — not bolted on
-  **SMB-First Pricing**
\$799/mo Growth tier — 15–20% below nearest SMB rivals
-  **Fast Implementation**
Live in under 1 week vs. 1–6 months for enterprise tools
-  **SOC 2 Type II**
Enterprise-grade compliance at an SMB price point

	CloudMetrics Pro	Databox	Klipfolio	Looker (Google)	Domo
White-Label Tier					
Native AI Engine					
SMB Pricing					
Fast Impl. (<1 wk)					
SOC 2 Type II					

Growth-Tier Monthly Price: **CloudMetrics \$799** · Databox \$800 · Klipfolio \$499 · Looker \$3,000+ · Domo \$5,000+

~ Partial capability — Not offered

Revenue Architecture & Unit Economics



¹ LTV calculated as ACV × a conservative 4.0-year tenure assumption (vs. 4.2-year observed average). DCF-based LTV on 6.1% churn yields ~\$118K; presented here on tenure basis for conservatism.

Retention, Concentration & Cohort Profile

380+

Total Customers

Active paying

94%

Net Rev. Retention

NRR LTM

6.1%

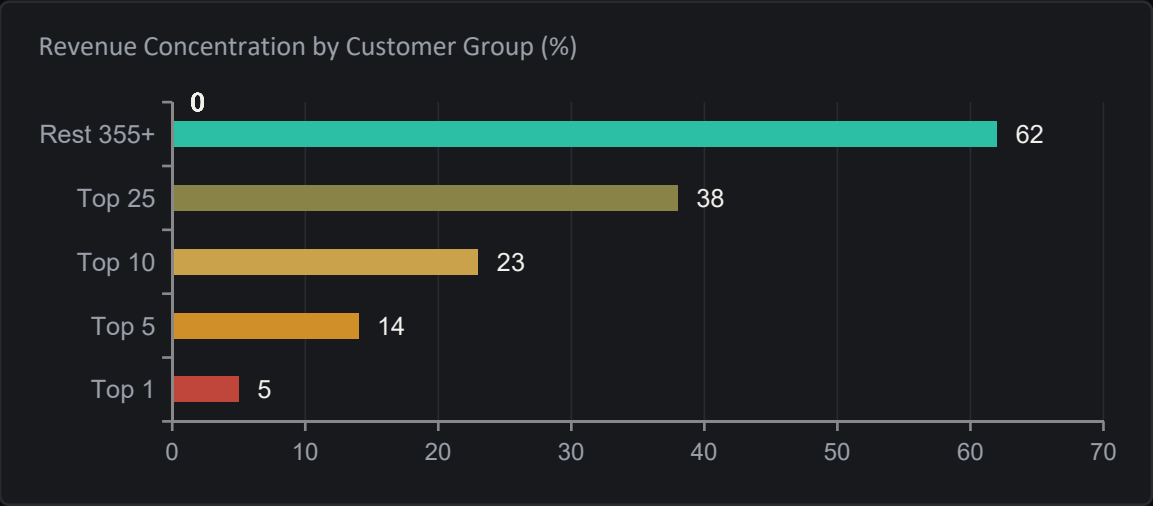
Annual Churn

Logo churn

4.2 yrs

Avg. Tenure

Paying base



Vertical Mix

● E-commerce / DTC: 42% of ARR

● Logistics & Supply Chain: 28%

● Professional Services: 18%

● Other B2B: 12%

Customer Health Signals

● Top-10 accounts: all on multi-year contracts

● Zero churn in >\$50K ACV tier over 3 years

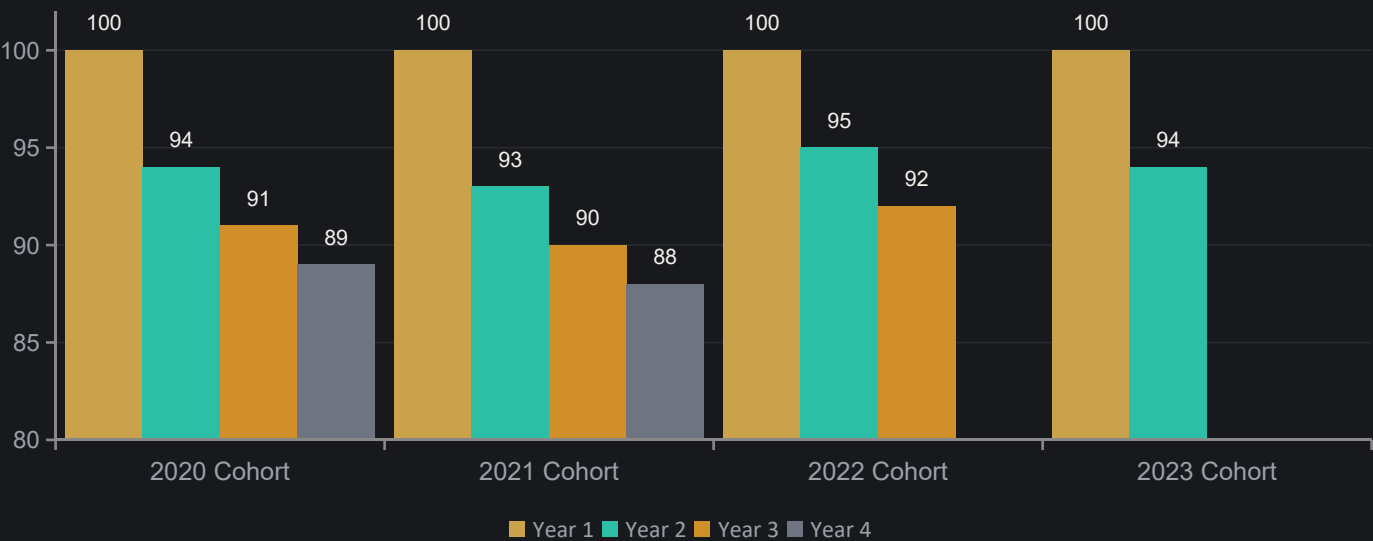
● 48% of new logos sourced from referrals

● NPS: 62 (industry median: 41)

⚠️ **GROWTH CONSTRAINT:** Enterprise tier is <5% of accounts; upmarket traction is unproven and excluded from base-case growth.

Revenue Retention by Customer Vintage — Structural Stickiness Proof

Gross Revenue Retention by Cohort Year (%)



Key Cohort Findings

- All cohorts show >88% GRR through Year 4
- 2022 cohort outperforming at 92% Year 3 — AI module beta cohort
- No cohort has shown accelerating churn — structural, not cyclical
- Average cohort GRR stabilises at 89–92% by Year 3 (benchmark: 80–85%)

Expansion Within Cohorts

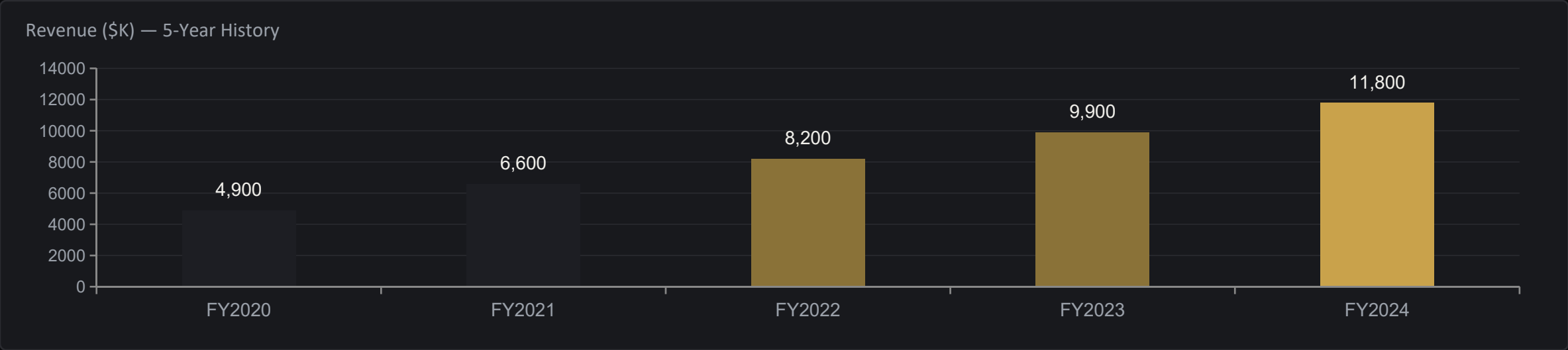
- Expansion ARR: \$900K in FY24 — customers growing within contracts
- Seat expansion drives +18% ACV growth YoY across paying base
- Multi-year contract locks: 44% of ARR base — insulates against churn
- Net churn in >\$50K ACV accounts: effectively zero over 3 years

COHORT INTERPRETATION

Gross Revenue Retention (GRR) measures logo + seat retention excluding upsell. NRR of 94% implies that upsell more than compensates for the ~6% lost in any given year. The combination of high GRR (91%) and positive expansion (NRR 94%) signals a structurally healthy, growing customer base.

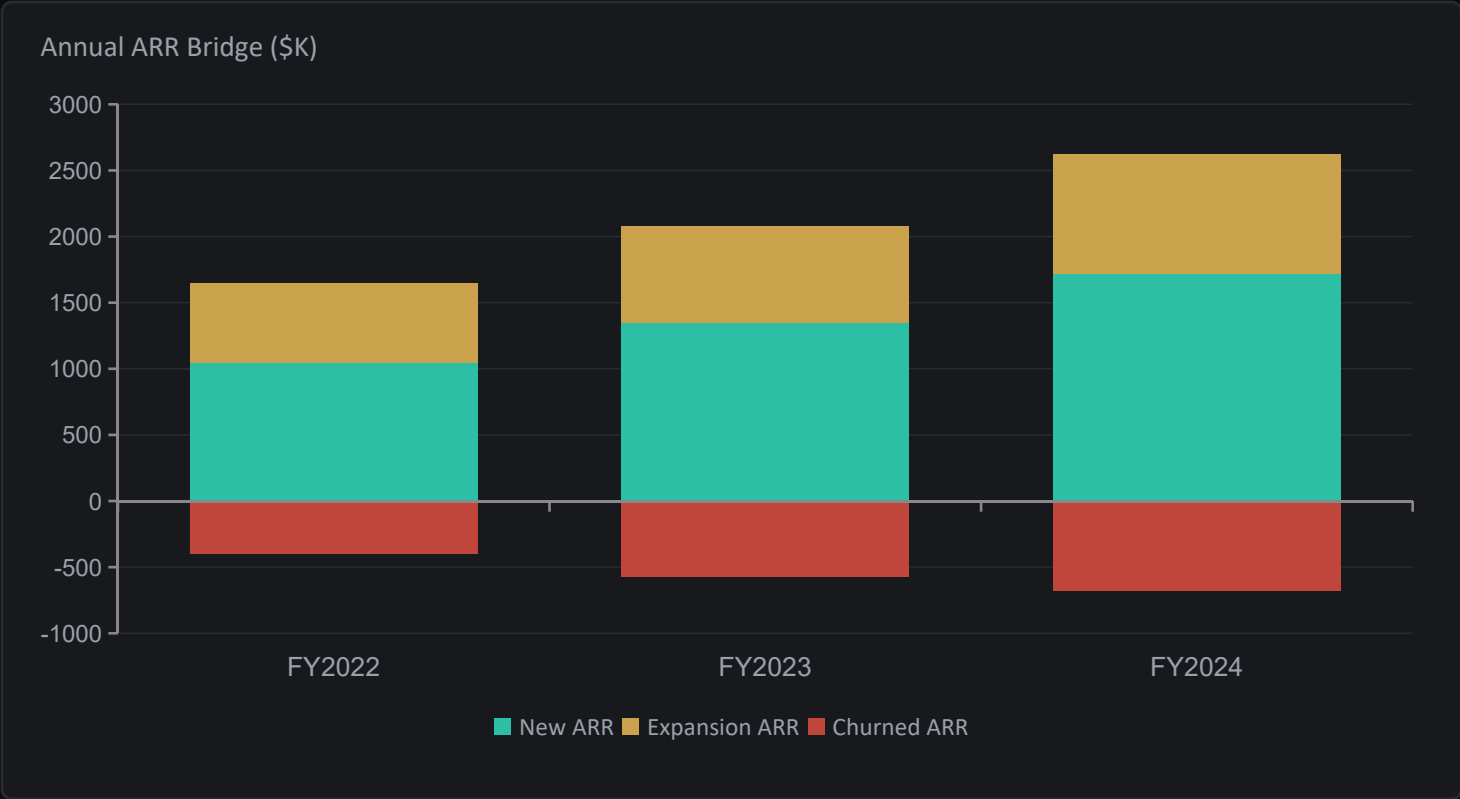
HISTORICAL FINANCIAL PERFORMANCE

FY2020 – FY2024 (\$ '000s)



Metric	FY2020	FY2021	FY2022	FY2023	FY2024
Revenue (\$K)	\$4,900	\$6,600	\$8,200	\$9,900	\$11,800
EBITDA (\$K)	\$790	\$1,210	\$1,690	\$2,300	\$2,900
EBITDA Margin	16.1%	18.3%	20.6%	23.2%	24.6%
YoY Growth	—	34.7%	24.2%	20.7%	19.2%
Gross Margin	81.0%	83.0%	85.0%	86.0%	87.0%

ARR Bridge & Recurring Revenue Quality



Recurring vs. Non-Recurring

- Annual Subscriptions: 62% of revenue
- Monthly Subscriptions: 22% of revenue
- Professional Services: 11% (declining)
- Marketplace / Other: 5%

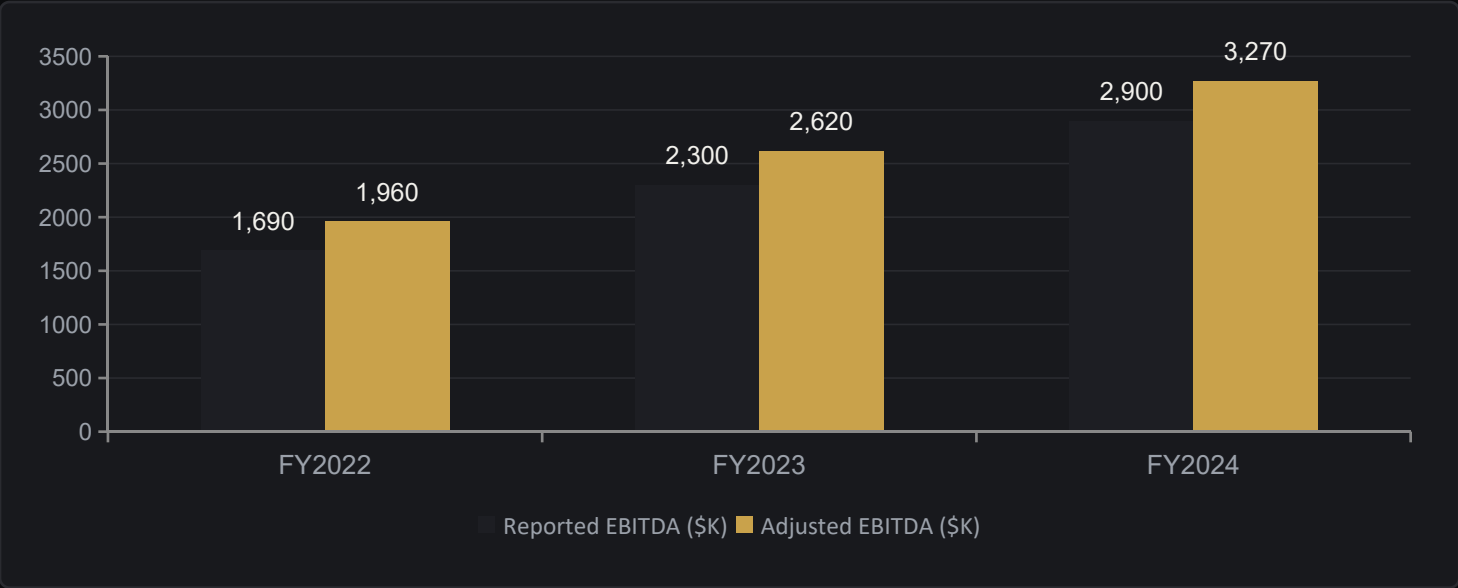
ARR Quality Signals

- NRR: 94% — expansion exceeds churn
- Expansion ARR: \$900K in FY24 (+22% YoY)
- Gross Revenue Retention: 91%
- Multi-year contracts: 44% of ARR base
- ACV growth rate: +18% YoY

Revenue-to-ARR Bridge Note:

Annual + Monthly Subscriptions annualize to ~\$9.9M; reported ARR of \$9.7M nets out ~\$200K of mid-period contract starts and ramping accounts, consistent with a conservative ARR recognition policy.

Margin Bridge, Normalization & Addback Schedule



ADDBACK SCHEDULE — FY2024

Reported EBITDA	\$2,900K
(+) Owner Comp. Above Market	\$215K
(+) One-time Legal & Advisory	\$82K
(+) Non-recurring Recruiting	\$52K
(+) Office Relocation (one-time)	\$21K
Adjusted EBITDA	\$3,270K
Adjusted Margin	27.7%

ENTRY MULTIPLE CLARIFICATION

4.55x EV/EBITDA on reported basis (\$13.2M / \$2.9M, presented as 4.5x). On adjusted EBITDA (\$3.27M), implied multiple is 4.04x (presented as 4.0x) — a significant discount to comparable transactions at 6.5–8.0x.

Note: figures rounded to one decimal throughout this memorandum for readability.

Margin Commentary & Path to Expansion

- Gross margin 81% (FY22) → 87% (FY24): AWS per-customer cost –40%
- R&D as % revenue: 32% → 24%; mix shifting to sales & CS
- Path to 32–35% EBITDA: pricing (+\$880K) + shared services (+\$270K) + infra (+\$180K)

Revenue Quality - Working Capital - Cash Conversion Analysis

Revenue Quality

HIGH

89% recurring revenue; no customer >5% of ARR; no contract cliff risk

Earnings Quality

HIGH

Addbacks \$370K (12.8% of reported); all one-time in nature

Working Capital

FAVOURABLE

Negative WC: deferred revenue exceeds AR; cash flow precedes revenue

Growth Sustainability

MEDIUM

Revenue decelerating (34%→24%→21%→19%) but still >market; monitor

WORKING CAPITAL ANALYSIS (FY2024)

Item	\$K	Days / Note
Accounts Receivable	\$420	12 days — very low; annual billing in advance
Deferred Revenue	(\$2,840)	Liability; \$2.84M of cash received before revenue recognized
Accounts Payable	(\$180)	8 days (opex basis) — minimal vendor payables
Net Working Capital	(\$2,600)	Negative — business generates cash before recognizing revenue

REVENUE QUALITY BREAKDOWN (FY2024)

Category	\$K	Quality
Annual SaaS Subscriptions	\$7,316	Very High — recurring, contracted
Monthly SaaS Subscriptions	\$2,596	High — recurring, at-will
Professional Services	\$1,298	Medium — one-time, declining
Marketplace Fees	\$590	High — transaction-based recurring

Cash Conversion & One-Time Adjustments

- FCF conversion: EBITDA \$2.9M → Unlevered FCF \$2.52M (87% conversion) — driven by negative working capital mechanics
- Deferred revenue (\$2.84M) represents cash already received; reversal risk is extremely low given 91% GRR
- Capital expenditure is minimal (\$200K/yr) — pure SaaS model with no physical asset base or inventory risk

Organic & Inorganic Value Creation Levers

Pricing Power

+\$900K ARR · 0–6 mo

Current pricing 15–20% below Databox/Klipfolio. 12% ARPU increase on base = ~\$900K with <5% expected churn.

AI Module Rollout

+\$810K ARR · 6–12 mo

AI anomaly module proven at \$101K ARR with 42 beta customers. Rollout to remaining 338 accounts at \$200/mo adds ~\$810K.

Channel Partnerships

+\$1.5M ARR · 12–18 mo

Agency reseller program nascent (7 partners, \$280K ARR). Formalize with MDF, co-marketing. Target 40+ agencies within 12 months.

Geographic Expansion

+\$1.8M ARR · 12–18 mo

UK/ANZ generating \$1.4M ARR with minimal marketing. Dedicated GTM + DACH entry adds \$1.8M incremental ARR within 18 months.

Vertical Expansion

+\$2.2M ARR · 18–24 mo

Healthcare admin, real estate, fintech SMBs are natural adjacencies. 3 vertical modules needed — minimal R&D given modular architecture.

Bolt-on Acquisitions

+\$4–8M ARR · 24–36 mo

4 targets identified (\$4–7M rev, 3–4x EBITDA each). Migrate onto CMP platform. Multiple arbitrage: buy at 3–4x, exit at 7–9x.

Value Creation Through Operational Excellence

Area	Current State	Target State	Impact	Ease
Pricing Strategy	Flat since 2021; no usage tier	12% ARPU uplift + usage-based overage	+\$900K ARR	High
Sales Process	Founder-led; no structured methodology	Hire VP Sales; MEDDIC; 45-day cycles	+\$1.2M ARR	High
Customer Success	Reactive support; low QBR cadence	Health scoring; structured QBRs; 1:60 CSM	-2pt churn	Medium
Technology Stack	Legacy reporting engine; high AWS cost	ClickHouse migration; containerize; -40% infra	+3pt margin	Medium
Financial Controls	Basic bookkeeping; no FP&A function	Build FP&A; monthly board reporting; cash forecast	Risk reduction	High
Channel Program	7 resellers; no formal program	Formalize with MDF, co-marketing, partner mgr.	+\$1.5M ARR	High

Risk Matrix — Probability vs. Impact with Quantified EBITDA Impact



QUANTIFIED EBITDA IMPACT

Risk Event	Scenario	EBITDA Impact
Top Customer Loss	Lose top 3 accounts	-\$410K
Pricing Failure	0% ARPU increase	-\$195K
AI Module Delay	6-month delay	-\$145K
Engineer Attrition	Lose 3 senior devs	-\$290K
Competitive Pricing	10% ASP decline	-\$350K

Risk Mitigants

- Seller note subordinated to top-10 customer retention thresholds
- 24-month employment agreement + \$350K cliff vesting (CEO)
- Retention bonuses for top 8 engineers benchmarked to P75 market
- Accelerate AI module launch; lock in multi-year contracts pre-close
- Sequence bolt-ons only after Month 12 operational stabilization

Public Comps - Private M&A - Valuation Benchmarking

PUBLIC COMPARABLE COMPANIES (Directional Reference — larger scale)

Company	Rev (\$M)	Rev Growth	Gross Margin	EV/Rev	EV/EBITDA
Datadog (DDOG)	\$2,128	27%	80%	13.2x	N/M (high-growth)
Domo (DOMO)	\$336	11%	76%	2.8x	N/M (loss-making)
Klipfolio (Private)	\$52	18%	82%	3.5x	8.2x
Sisense (Private)	\$145	14%	79%	3.1x	6.8x
Median (private peers)	—	16%	81%	3.3x	7.5x

SELECTED PRIVATE M&A TRANSACTIONS (2019–2024) — Closest Comparables

Acquirer	Target	Year	Rev (\$M)	EV/Rev	EV/EBITDA	Notes
Salesforce	Tableau	2019	\$1,150	7.8x	N/M	Strategic — not a true comp
Accel-KKR	Databox	2022	\$48	3.8x	7.2x	★ Closest comp — SMB SaaS roll-up
Alpine Investors	Klipfolio	2023	\$50	3.5x	6.5x	★ Closest comp — PE-backed SMB analytics
Vista Equity	Coda	2024	\$85	4.1x	8.0x	B2B SaaS platform
CloudMetrics Pro	TARGET	2025	\$11.8	1.1x	4.55x rep. / 4.04x adj.	◀ This Transaction

CloudMetrics at 4.55x reported EV/EBITDA (4.04x adjusted) represents a 30–45% discount to closest SMB SaaS comps (Databox 7.2x, Klipfolio 6.5x). Entry at 1.1x ARR provides significant downside insulation. Why available below comps: bootstrapped, founder-led business with no institutional sales motion or dedicated GTM hire, and a single-threaded customer relationship structure (CEO holds all key accounts) — value a buyer must build out post-close, not a quality discount.

Sources & Uses - Capital Stack - Key Terms

SOURCES & USES

SOURCES	\$000s	%
Senior Debt (3.5x reported EBITDA)	\$10,150	77%
Equity (Acquirer)	\$2,050	16%
Seller Note (5%, 4yr)	\$1,000	8%
TOTAL	\$13,200	100%

USES	\$000s	%
Purchase Price (100% equity)	\$13,200	100%
Working Capital	Normalized at close	Target agreed pre-LOI

KEY DEAL TERMS

Enterprise Value	\$13.2M (4.55x reported / 4.04x adjusted EBITDA)
Deal Type	Share purchase — 100% equity acquisition
Earnout	\$750K tied to Year 1 ARR retention (>90%)
Seller Note	\$1M at 5% interest, 4-year bullet maturity
Senior Debt	\$10.15M at 6.5%; 7-year amortization
Equity Check	\$2.05M from acquirer (16% of EV)
Mgmt. Rollover	Founder retains 10% equity; 3-yr cliff vesting
Working Capital	Normalized target agreed pre-LOI; est. neutral
Closing Conditions	Audited financials; SOC 2 confirmation; No MAE

Investor Returns - IRR - Exit Scenarios

27.1%

Base Case IRR

5-year hold, equity basis

3.3x

Equity MoM

\$2.05M → \$6.8M

\$6.8M

Equity Proceeds

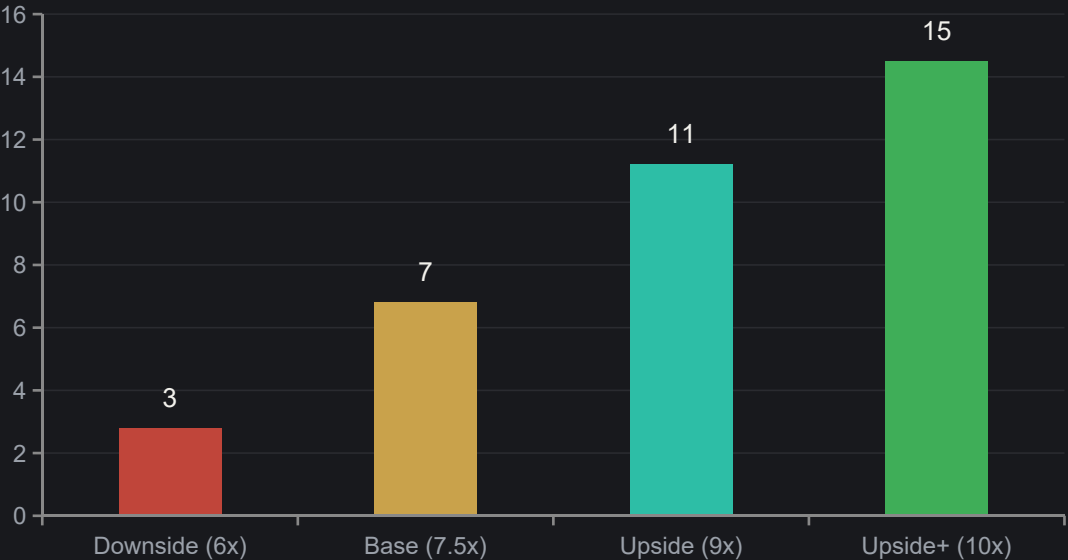
Base case exit

7.5x

Exit Multiple

EV/EBITDA at exit

Equity Proceeds by Exit Scenario (\$M)



Scenario	Yr5 EBITDA	Equity	IRR	MoM
Downside (6x)	\$4.1M	\$2.8M	6.4%	1.4x
Base (7.5x)	\$5.8M	\$6.8M	27.1%	3.3x
Upside (9x)	\$7.5M	\$11.2M	40.4%	5.5x
Upside+ (10x)	\$8.6M	\$14.5M	47.9%	7.1x

All IRR/MoM figures are computed on sponsor equity-check basis (\$2.05M), reflecting Leverage Strategic's GP co-investment economics: $IRR = MoM^{(1/5)} - 1$. Total transaction equity value on an unrealised EV basis is shown separately in the Debt Schedule slide (19.1x MoM, all equity holders) and is not directly comparable.

5-Year Debt Paydown · Free Cash Flow · Bolt-On Reserve Build

	Year 1	Year 2	Year 3	Year 4	Year 5
Opening Debt	\$10,150	\$8,650	\$7,024	\$5,262	\$3,352
EBITDA	\$3,600	\$4,056	\$4,570	\$5,149	\$5,800
Less: Interest (6.5%)	\$(660)	\$(562)	\$(457)	\$(342)	\$(218)
Less: Taxes (25%)	\$(735)	\$(874)	\$(1,028)	\$(1,202)	\$(1,396)
Less: Capex	\$(200)	\$(180)	\$(160)	\$(140)	\$(120)
Free Cash Flow	\$2,005	\$2,440	\$2,925	\$3,465	\$4,066
Debt Repaid (scheduled)	\$(1,500)	\$(1,626)	\$(1,762)	\$(1,910)	\$(2,068)
Closing Debt	\$8,650	\$7,024	\$5,262	\$3,352	\$1,284
Cumulative Bolt-On Reserve ¹	\$505	\$1,319	\$2,482	\$4,037	\$6,035

EQUITY VALUE AT EXIT (BASE CASE — YEAR 5, 7.5x) — Total EV Basis

\$43.6M

Exit EV

\$(1.3M)

Less Debt

\$42.3M

Equity Value

\$(2.1M)

Less Invested

\$40.2M

Net Proceeds

19.1x

MoM (EV basis)

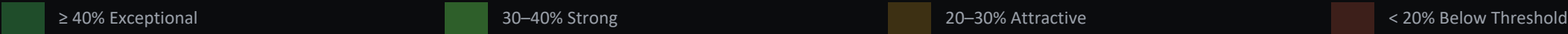
¹ Bolt-On Reserve Note:

Free cash flow exceeds scheduled senior-debt amortization by design; the surplus accumulates on the balance sheet as a dedicated reserve for the 4 identified bolt-on targets (Investment Thesis, Growth Opportunities) rather than being swept to debt or distributed. This ~\$6.0M reserve by Year 5 is excluded from the Exit Equity Value and Returns Analysis figures above on a conservative basis — realizing it would be additive to reported equity value and IRR.

IRR Matrix — Revenue Growth vs. Exit Multiple

IRR SENSITIVITY: REVENUE GROWTH vs. EXIT MULTIPLE (5-year hold · \$2.05M equity · \$10.15M debt @ 6.5%)

Growth \ Exit	5.5x	6x	6.5x	7x	7.5x	8x	8.5x	9x	9.5x	10x
20%	35.2%	38.4%	41.5%	44.5%	47.3%	49.9%	52.4%	54.7%	56.9%	59%
17%	30.6%	33.6%	36.5%	39.3%	41.9%	44.3%	46.6%	48.8%	50.9%	52.9%
15%	27.1%	30%	32.8%	35.5%	38%	40.3%	42.5%	44.6%	46.6%	48.5%
12%	22.6%	25.4%	28.1%	30.7%	33.1%	35.4%	37.6%	39.6%	41.6%	43.5%
10%	19.2%	21.4%	23.4%	25.3%	27.1%	28.8%	30.4%	31.9%	33.3%	34.6%
8%	14.9%	17.5%	20%	22.4%	24.6%	26.7%	28.7%	30.6%	32.5%	34.2%
5%	8.1%	10.5%	12.9%	15.1%	17.2%	19.2%	21.1%	22.9%	24.7%	26.4%



BASE CASE: 10% revenue growth × 7.5x exit = 27.1% IRR (highlighted in gold — consistent with Returns Analysis slide 23)

Who Buys CloudMetrics Pro — and Why

Strategic Acquisition Year 3–5 · 9–12x EBITDA Likely Buyers: ●Salesforce / HubSpot ●Monday.com / ClickUp ●Zoho / Freshworks Rationale: Analytics layer to embed in existing CRM/productivity suites. CloudMetrics' 120+ connectors and SMB customer base are immediately accretive.	PE Roll-Up Platform Year 4–6 · 8–10x EBITDA Likely Buyers: ●Vista Equity ●Accel-KKR ●Alpine Investors Rationale: CloudMetrics as the platform for a larger SMB analytics roll-up. Acquirer has already completed Databox and Klipfolio transactions at 6.5–7.2x.	PE-Backed Strategic Year 3–5 · 7–9x EBITDA Likely Buyers: ●Datadog (analytics expansion) ●Amplitude ●Mixpanel Rationale: Product analytics players expanding into operational/business analytics for SMBs. CloudMetrics' vertical focus and white-label tier are differentiated.
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EXIT VALUE CREATION BRIDGE (BASE CASE — YEAR 5)					
\$13.2M	+\$13.1M	+\$17.3M	\$43.6M	-\$1.3M	\$42.3M
Entry EV	EBITDA Growth	Multiple Expansion (4.5x→7.5x)	Exit EV	Less: Remaining Debt	Equity Value

Post-Acquisition Priorities — Stabilize · Diagnose · Execute

Days 1–30

Stabilize & Listen

- All-hands within 48 hrs; acquisition framed as growth catalyst
- Retention bonuses activated; CEO + key engineers under contract
- Complete financial close; install FP&A reporting framework
- Shadow leadership team: no structural changes in first 30 days

Days 31–60

Diagnose & Design

- NPS calls with top 25 accounts; surface any churn risk early
- Pricing analysis complete; ARPU increase plan finalized
- Tech debt scope locked with engineering; roadmap sequenced
- Hire VP Sales and Head of Customer Success

Days 61–100

Execute & Accelerate

- Launch repriced Growth and Scale tiers (12% ARPU uplift)
- AI anomaly module soft-launched to full 380-account base
- Activate 2 new agency channel partner agreements
- Month 3 investor update; board reporting dashboard live

One-Page IC Snapshot — CloudMetrics Pro

DEAL AT A GLANCE

Company	CloudMetrics Pro
Sector	B2B SaaS Analytics
Geography	US + UK/ANZ
Revenue (LTM)	\$11.8M (+19.2% YoY)
EBITDA (Reported)	\$2.9M (24.6% margin)
EBITDA (Adjusted)	\$3.27M (27.7% margin)
ARR	\$9.7M (NRR: 94%)
Customers	380+ B2B accounts
Team	62 FTEs; 4 senior leaders
Cert.	SOC 2 Type II, GDPR

TRANSACTION & RETURNS

Enterprise Value	\$13.2M (4.55x / 4.04x adj.)
Equity Check	\$2.05M (16% of EV)
Senior Debt	\$10.15M @ 6.5% (3.5x)
Seller Note	\$1.0M @ 5% (4-year)
Earnout	\$750K (Year 1 ARR >90%)
Entry ARR Multiple	1.1x LTM ARR
Base Case IRR	27.1% (equity check)
Base Case MoM	3.3x (5-year hold)
Downside IRR	6.4% (6x exit)
Upside IRR	40.4% (9x exit)

RECOMMENDATION: RECOMMEND PURSUIT — Proceed to LOI under Structured Terms (Seller Note + Earnout + Employment Agreement)

Summary Assessment & Decision Framework

RECOMMEND PURSUIT

✓ Why Pursue

- Best-in-class NRR (94%) and 87% gross margin — structural business quality above SMB peer set
- Entry at 4.55x reported / 4.04x adjusted EBITDA is 30–45% below closest comps (Databox 7.2x, Klipfolio 6.5x)
- Clear documented path to 32–35% EBITDA margin through pricing power and operational levers
- Platform enables roll-up of 4 bolt-ons at 3–4x EBITDA — multiple arbitrage against 7–9x exit
- Base case IRR 27.1%; Upside 40.4% on equity check basis — comfortably above 20–22% hurdle

✗ Considerations

- Key person risk is elevated — CEO owns all relationships; 24-month agreement is non-negotiable pre-close
- Tech debt in reporting engine adds 6–9 months before product roadmap fully executes
- Downside scenario (6x exit): IRR compresses to 6.4% — returns are meaningfully exit-multiple-dependent
- Revenue growth decelerating (34%→19%) — important to validate pipeline and expansion trends in DD

NEXT STEPS: Sign NDA → Request Data Room → Management Meeting → Financial Model Deep-Dive → LOI Submission

Full KPI Dashboard - LTM FY2024

Metric	Value	Metric	Value
ARR (Total)	\$9.7M	ARR Growth YoY	+24.8%
MRR (Peak)	\$808K	New Logo ARR	\$1.73M
Net Revenue Retention	94%	Gross Rev. Retention	91%
Annual Churn (Logo)	6.1%	Monthly MRR Churn	0.52%
ACV (Blended)	\$7,200	ACV (Growth Tier)	\$9,600
CAC (Blended)	\$4,100	CAC Payback	6.8 months
LTV (Avg. tenure basis)	\$28,800	LTV / CAC	7.0x
Gross Margin	87.0%	EBITDA Margin	24.6%
Adj. EBITDA Margin	27.7%	Adj. EBITDA	\$3,270K
Headcount	62 FTEs	Revenue per FTE	\$190K
NPS Score	62	Customer Count	380+

Disclaimer: All figures are management representations; not independently verified. Independent QoE recommended prior to LOI. Entry multiple of 4.55x is on reported EBITDA, 4.04x on adjusted EBITDA (presented as 4.5x/4.0x throughout).

Pre-Emptying the IC's First Round of Follow-Ups

Anticipated Question	Where It's Addressed	Status
Show churn by customer size / ACV band	Customer Analysis (p.12) gives revenue concentration by cohort size; full ACV-band churn cuts	Data Room
Show the ARR bridge	Revenue Analysis (p.15) — New / Expansion / Churned ARR by year, FY22–FY24	Answered in this IM
Show customer acquisition channels	48% of new logos from referrals (p.12); channel partner economics (p.18); full paid/organic/outbound CAC mix	Data Room
Show product screenshots / live demo	Product Showcase (p.9) describes modules; interactive demo gated behind NDA + LOI	Data Room
Show actual QoE adjustments	EBITDA Analysis addback schedule (p.16) and Quality of Earnings Summary (p.17) — full \$370K addback detail	Answered in this IM
Show sales team productivity	Business is founder-led with no dedicated sales function today (p.19, Operational Improvements); quota/ramp data n/a pre-hire	Data Room
Show deferred revenue balances	Quality of Earnings Summary (p.17) — Working Capital Analysis: Deferred Revenue \$(2,840)K	Answered in this IM

Price vs. Market Focus — Visual Landscape



Positioning Insight

- CloudMetrics occupies the defensible SMB + low-to-mid price quadrant — currently uncrowded
- Klipfolio and Databox are closest neighbors but lack AI engine and white-label tier
- Enterprise players require 3–6 month implementations at 4–6x the price

Competitive Moat Summary

- Price-to-value: 15–20% below nearest SMB competitors
- AI anomaly engine: only SMB platform with native ML detection
- White-label tier: unique agency reseller capability
- NRR: 94% vs ~90% average for SMB analytics

LS

LEVERAGE STRATEGIC

Transaction Advisory · Strategic Finance · Growth-Stage Execution

This document is prepared exclusively for the intended recipient and is strictly confidential. It does not constitute an offer or solicitation to buy or sell any security.

All financial projections are estimates based on management representations and publicly available information.

Entry multiples quoted on reported EBITDA unless stated otherwise.

Independent Quality of Earnings review recommended prior to LOI submission.

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